



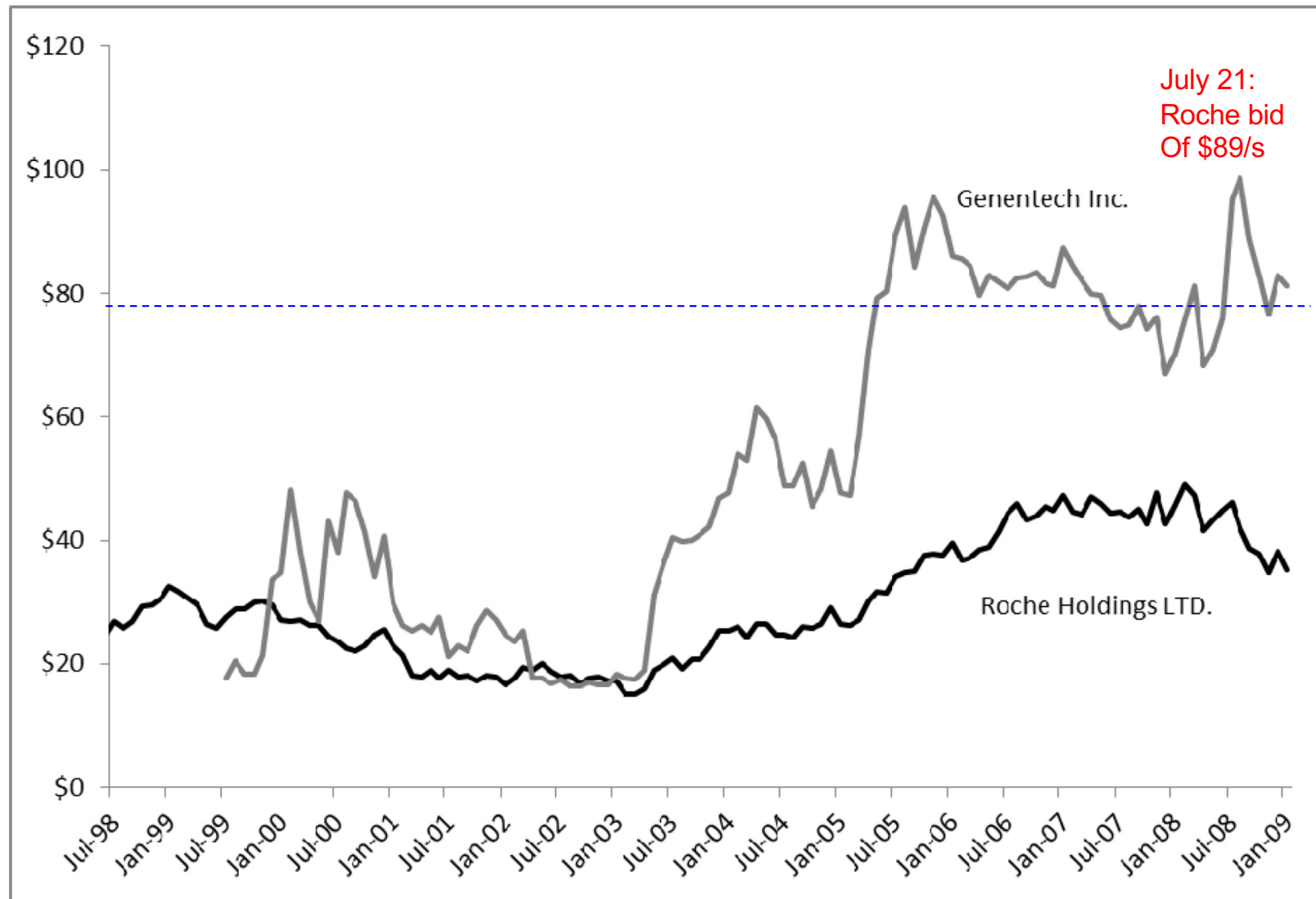
Roche & Genentech: Why this case?

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Exhibit 6 Stock Price Histories of Roche and Genentech (June 30, 1998–June 30, 2008)



What happened?

- Jan 28, 2009: Roche tender offer @ \$86.50/Sh.
 - Huber (Roche's chairman): *"Our first offer [@ \$89] was in July last year and I think we all agree that the world has changed since then."*
- Market reaction upon announcement:
 - Genentech's shares fell by 3% to \$81.24
 - Roche's shares rose by 1.9%
- Feb 18: Roche announces global bond issue for \$30 billion, putting financing fears at rest

- On March 6, Roche raises offer to \$93/share
- Special committee offers to negotiate. On March 12, Roche and Genentech agree on friendly merger at \$95/share
- Roche ultimately issues \$40 billion in European and U.S. bond markets to finance the acquisition
- Roche's integration of Genentech seems to have been fairly successful. See:
 - <https://knowledge.wharton.upenn.edu/article/anatomy-of-a-merger-hostile-deals-become-friendly-in-the-end-right/>
 - <https://www.gene.com/stories/not-business-as-usual>

Roche and Genentech: Why this case?

- I. Identifying value of synergies
- II. Valuation practice.
- III. Structuring an acquisition
- IV. Mergers vs. strategic alliances

I. Identifying synergies:

- Synergies = what value is created in acquisition / merger, that would not be realized otherwise.
 - If some value – e.g. additional revenues or cost reductions - can be achieved through other means (e.g. strategic alliance, contract), this is *not* a synergy.
 - The synergy is only the *additional* value generated from a merger: e.g. cost cuts / revenue increases that only would happen if own 100%

- Very relevant for Roche-Genentech: already have a deep and long-standing business relationship.
 - Would merger really lead to additional value beyond what Roche-Genentech cooperation already generates?
 - In this case: yes!

Different types of merger synergies

- Identifying synergies relies on an understanding of the underlying industry economics.
 - Where are the companies positioned in the value chain? What are their strengths and weaknesses?
 - Where are complementarities and where is there overlap?
- Synergies coming from overlap
 - Hard synergies / Cost synergies / Econ. of scale
 - » E.g. cost cutting because of redundancies.
 - Easier to quantify (“# people fired * annual salary”)
 - Arguably easier to realize than other synergies
 - » Although not necessarily easy: costs of severance packages / labor laws, corporate politics, employee morale...

■ Synergies coming from complementarities

- Soft synergies / Revenue synergies / Econ. of scope
 - » E.g. benefits of vertical integration
- Harder to quantify
 - » What is value added beyond a market / contractual solution?
Reduced transaction costs vs. other costs, e.g. incentives.
 - » Easy to rationalize overpaying by dreaming up soft synergies
 - » Common mistake: value synergies as total value of new joint business opportunities, rather than difference relative to what can be achieved without a merger (e.g. through an alliance contractual agreement)
- Harder to realize
 - » Have to be able to make people cooperate given different corporate cultures, incentives, organizational set-ups, etc.



■ Market power synergies

- Acquire to reduce competition
- Role of anti-trust legislation is to stop these mergers

■ Defensive synergies

- If competitor acquires target instead, this will hurt my business
- Although economically valid, very hard to evaluate, and easy to use as argument for overpaying.

■ Management / efficiency improvements

- Not about combining assets of two companies, but rather about managing target asset more efficiently.
- Main rationale for private equity buyouts.

■ Financial synergies

- Internal capital market: cash-rich business can fund growth business when external capital is expensive.
 - Risk of inefficiencies, especially when businesses unrelated (conglomerate discount; see Diageo)
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For Roche and Genentech

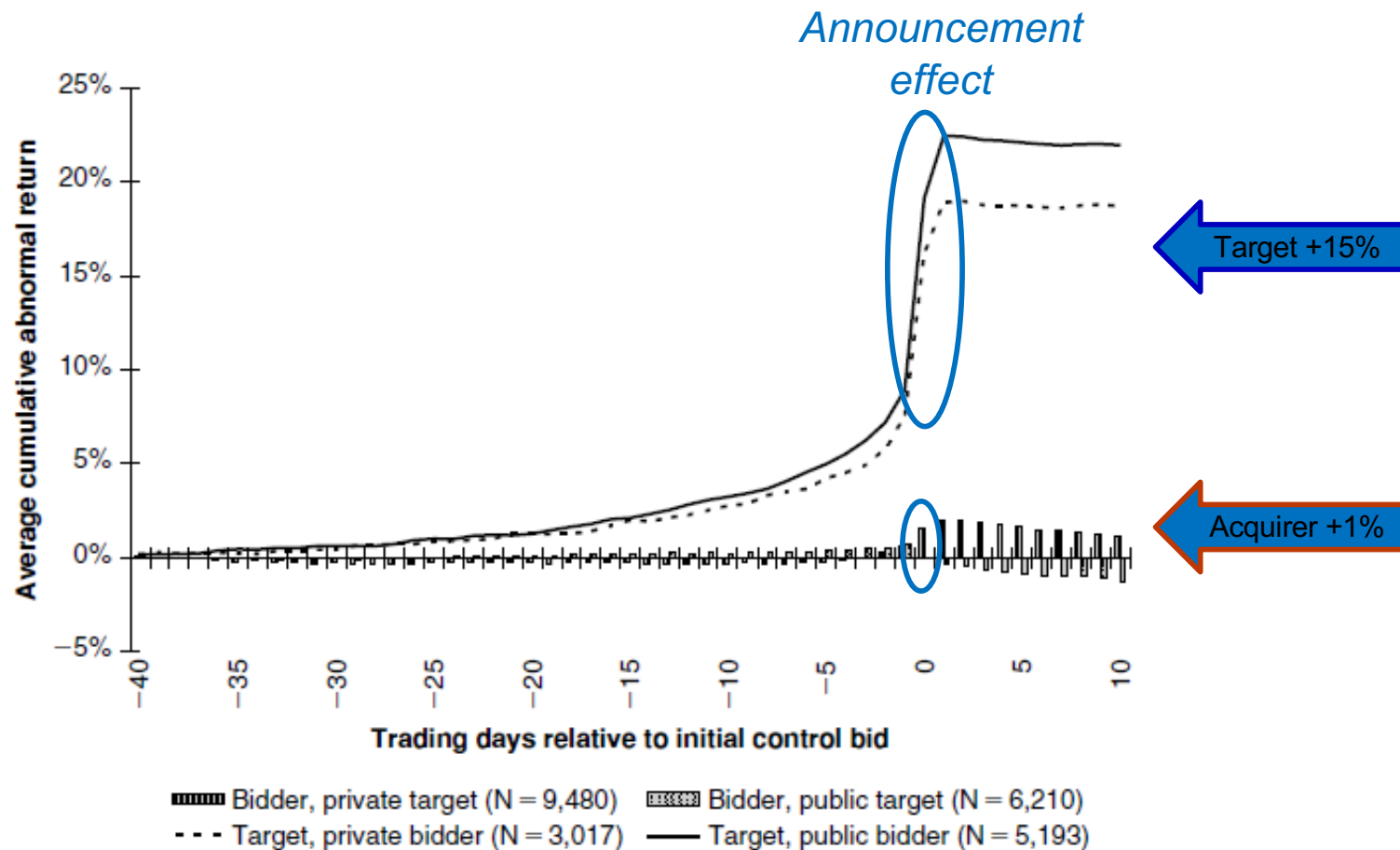
- Hard synergies:
 - Limited: Roche could reduce much of costs without merging.
- Soft synergies:
 - Many examples in case – better R&D collaboration, etc – but very hard to evaluate.
 - Avoid risk in upcoming contract negotiations.
 - » Good for Roche, but bad for Genentech → have to pay higher acquisition premium up front → nothing gained?
 - » Uncertainty about future cooperation hampers cooperation today?
- Defensive synergies:
 - Can think about contract renegotiation rationale in this light.
Consequences for Roche if don't renew affiliation agreement?
- Management / efficiency improvements:
 - Not really; Genentech seems well managed.
- Financial synergies:
 - Roche cannot access Genentech's cash unless owns 100% of company

Evidence on M&A value creation

■ Large public M&A:

- Most of value goes to target shareholders as opposed to bidder shareholders (see next slide)
 - » “Free-rider problem:” target shareholders can hold-out until the end; minority protection and squeeze out rules makes this favorable.
 - » Management ego and hubris / sunk cost fallacies / agency problems / M&A advisor incentives (paid upon deal success) leads to incentives to overpay
- Combined value increase of target and bidder is positive on average
 - » Although some spectacular exceptions of value destruction / bad deals (Ford-Jaguar, HP-Compaq, Viacom-Blockbuster, ...)

Target returns are high on average ($\approx$ bid premium)



Source: Betton Eckbo Thorburn (2008)

■ Smaller, private targets: stronger evidence that bidders gain

- Especially among disciplined serial acquirers, where M&A is key to profitable growth.
- Hard synergies / Economies of scale
 - » Small firms operate at subscale
- Soft synergies / Economies of scope
 - » Add new features/products by acquiring “one-product” companies
- Management synergies
 - » Small target firms cannot afford top management
- Market power synergies
 - » Consolidating fragmented industries
- Financial synergies
 - » Small, private firm that cannot access capital for growth

II. Valuation of synergies

- Value of target to acquirer =
Target stand-alone value + value of synergies
- For public targets, stand-alone value should be close to market value
 - At least in reasonably efficient / liquid stock markets
 - To motivate a different value, need to understand what information you have that the market does not have (or misinterprets)

Calibration technique for valuing synergies

- 1. Value Genentech as is.
 - Current forecasts.
 - Assumed discount rate.
- 2. Is estimated value close to market value?
 - Yes? Can be confident of analysis.
 - No? Try to understand why.
- 3. Make adjustments to get closer to mkt. value.
 - Discount rate, growth assumptions
 - Expected take-over premia
- 4. Use calibrated discount and growth rates to value merger synergies
- Can use methodology in many contexts
 - Calibrate discount & growth rates to public comparable
 - Use calibrated parameters to value internal investment project / private company

III. Structuring an Acquisition

- Price: Always offer less than your valuation
- Form:
 - One-step Merger
 - » Bidder can pay using equity
 - » Requires target shareholder approval. Takes time.
 - Two-step Merger
 - » Tender offer in cash first, stock merger second.
 - » Faster to get control, but requires cash.
- Method of payment – stock or cash/debt?
 - Depends on need for speed – cash is faster
 - Depends on value of bidder stock – cash is cheaper if undervalued
 - Depends on target tax position – stock is typically better
 - Depends on capital structure – have to use stock if limited debt capacity
 - Depends on difficulty for target shareholders to evaluate equity in combined company

IV. Acquire vs strategic alliance

- Always ask: is acquisition best alternative?
 - Build instead of buy? Buy some other company than this one? Or cooperate through contract / alliance?
- Acquire vs alliance is classic trade-off in vertical integration:
 - Contract / alliance with supplier:
 - » Benefit: supplier keeps incentives to maximize value
 - » Cost: supplier may maximize own value at the expense of joint surplus
 - E.g. supplier/upstream does not want to make enough specific investment in fear of hold-up by customer/downstream firm
 - Acquire supplier:
 - » Benefit: can make decision to maximize joint surplus
 - » Cost: supplier loses autonomy → worse for supplier incentives
 - Classic academic article on this is Grossman & Hart, 1986 “The Costs and Benefits of Ownership: A Theory of Vertical and Lateral Integration”